

YOUR GUIDE TO

Building Marketing Strategies

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Building Marketing Strategies

TERM 1 | DR. BHUPESH MANOHARAN

Need

- It is a state of dissatisfaction
- Needs cannot be created, marketers create awareness about the need
- At a particular time, we all have needs, some are active and some are dormant
- Physiological needs dominate as they are related to the body
- Marketing is about solving for needs profitably



Want

- Want is a solution to a need/problem
- One want can be preferred over another

Value

- Sum of Total Benefits - Sum of Total Costs
- Value evaluation always happens before one buys the product/service
- Value is always perceived
- Marketers don't sell products/services, they sell value
- A **Value Proposition** is a statement that identifies the benefits a company will deliver to its customer. A well drafted value proposition helps the co./brand differentiate
- To increase value, we either increase benefits or reduce costs
- Value should always be greater than 0, else product/service will be rejected
- Value evaluation:

Value 1	Value 2	Value 3
Benefit 1 - Cost 1	Benefit 2 - Cost 2	Benefit 3 - Cost 3

How to evaluate? If $B1 - C1 > B2 - C2$ (Sum of Total Benefits should be higher than Sum of Total Cost to generate value)

Demand

- Demand = Want + Willingness to pay
- Latent Demand: When there's willingness to pay but there is no ability to pay
- Ability to pay can be easily captured, but not willingness to pay
- Demand is dynamic i.e multiple factors affect demand eg. price

Desire

- Desire is a demand that cannot be replaced
- As a marketer your aim should be to convert demand into desire by enhancing value
- Once desire is met, you should try to meet expectations (all benefits)
- Expectation is a function of all benefits

Satisfaction

- Satisfaction = When expectations meet perceived delivery or simply Satisfaction = Expectations - Perceived Delivery
- If all benefits are met, one will be satisfied, if not "need" will be triggered again
- Over-satisfaction leads to **Delight**

Loyalty

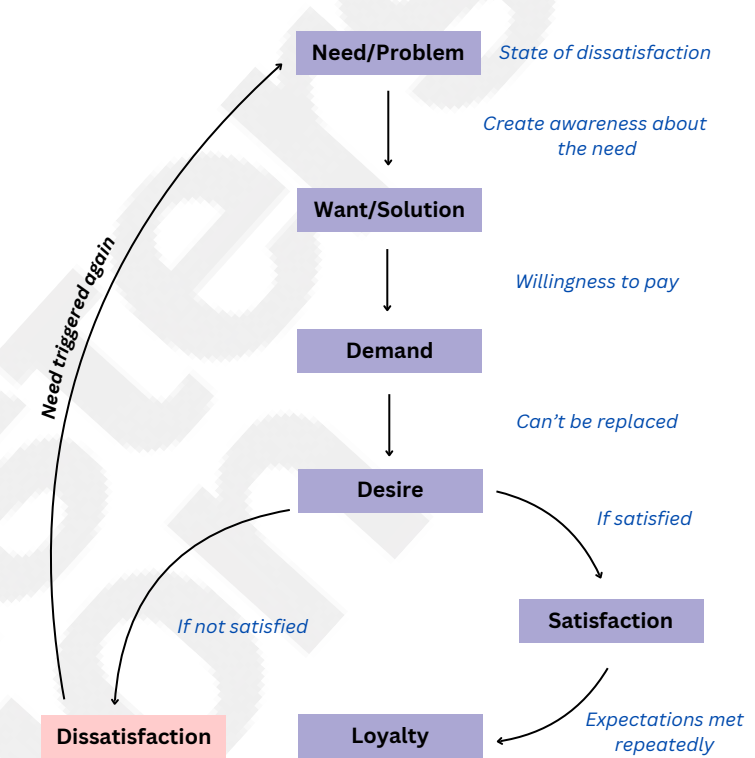
- When expectations are repeatedly met, it leads to loyalty
- There are 2 kinds of loyalty:
 - Behavioural Loyalty:** This comes from repetition of purchase w/o much consideration. Eg. Buying coffee from the same coffee shop due to habit and convenience. One doesn't look for substitutes due to inertia
 - Attitudinal Loyalty:** Driven by preference. Encompasses attitudes, beliefs, and emotional connection to the brand/product/service. Gives a sense of belongingness. Eg. A person buys Nike for its "Just Do It" message, feeling emotionally connected

Key Stages

1. Create awareness about the need
2. Create solutions / wants
3. Propose value (Same product can have different **perceived value**)
4. Enhance value
5. Match & manage expectations

The process of Building Strategies begins with Need Gap Analysis

Need Gap Analysis (NGA)

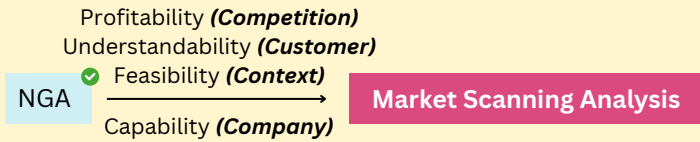


A business can be started if there is one or more gaps but a business can't sustain if it doesn't fill all the gaps.

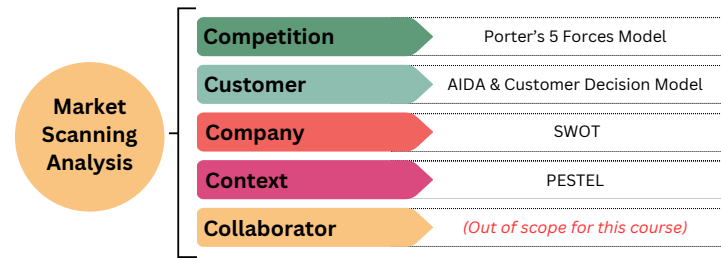
End of Need Gap Analysis

For your Notes:

Next Steps in Building Strategies



Market Scanning Analysis



Market Scanning Analysis is a process used to evaluate markets according to its compatibility with overall competencies and business objectives of the company.

This is also called **Stakeholder Analysis** or **5C Analysis**. This is a basic analysis that any business should do before starting out.

Types of Analyses

1. Porter's 5 Forces Model

Competition X Profitability



- Profit: Revenue - Costs
- Profitability (%): $\text{Profit/Revenue} \times 100$
- Ceteris Paribus (All other things being equal), if one factor goes up, industry profitability comes down

Bargaining Power of Buyers

If there are multiple brands/companies with similar value propositions, and very few buyers, i.e. supply is greater than demand, the buyers have more power to bargain and ask for better prices. They ask brands to lower prices or they may buy from other brands/companies.

Extreme case: When there is only one buyer and multiple suppliers, this market is called Monopsony. Eg. In the case of market for satellites and missiles, the government is the only buyer, but there are multiple suppliers.

Bargaining Power of Suppliers

If the raw material a brand/company uses has very few suppliers, suppliers can have a greater bargaining power to increase their costs. They may ask for higher prices for the raw material or they may sell it to other companies.

Extreme case: When there is only one supplier and multiple buyers, this market is called Monopoly. Eg. Radio frequency bands which can only be bought from government.

Threat of Substitution

If a new product is launched in the market with a better value proposition, the brand/company may have to reduce its prices to increase their value of product and match it with the new product.

Threat of New Entrants

If a new product enters the market, it will start replacing the existing products. To increase the number of customers, other brands/companies will try to increase their products' value by decreasing prices (assuming it cannot add other benefits). This will make the market less profitable.

Extent of Rivalry

Rivalry of market depends on two factors: a. The number of products and b. the distribution of market share. If there are more number of products, it means the market is more competitive. If the market share is evenly distributed amongst all products, means the market is more competitive.

Herfindahl-Hirschman Index (HHI)

HHI is used to measure the extent of rivalry in a market. HHI is the sum of square of market share of all the products in the market. $HHI > 0.3$ is called a less competitive market and hence more profitable, whereas a market with $HHI < 0.3$ is said to be more competitive and less profitable.

2. AIDA & CDM

Customer X Understandability

- Customers are the people who buy the product whereas consumers are the people who finally use the product. Eg: For Baby Diapers, baby's parents are the customer i.e. make purchase decision, and the baby is the consumer, who actually uses it
- A lot of times customer and consumers are the same

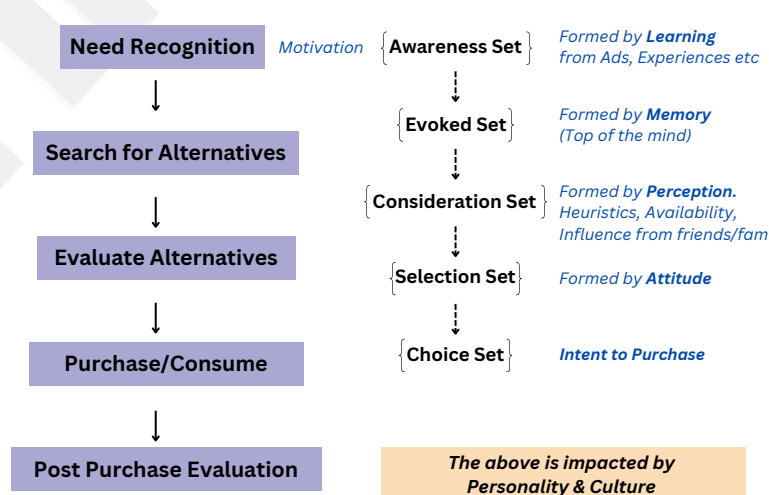
AIDA Framework

Used to understand how consumers make decisions

- A** Awareness about the problem (Bring attention to the need)
- I** Interest for solutions
- D** Desire to like
- A** Action to purchase

(Sir's PoV: Limitation; Closes on action)

Consumer Decision Making Model

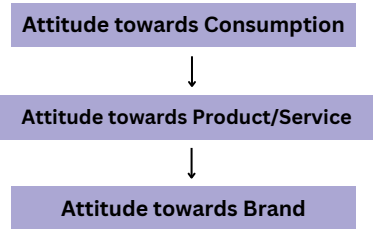


- When the consumer has a **high involvement purchase**, they will go through all the stages.
- If it is a **low involvement purchase**, consumer might skip few stages
- Disinvestment: Where consumer feedback is not needed
- Types of Awareness:
 - Top of the Mind Awareness
 - Spontaneous Awareness/Unaided Awareness
 - Assisted Awareness

Attitude

- Attitude is a mix of formed opinions & learned predispositions
- Attitude has a direction i.e. negative or positive and a magnitude i.e. intensity

- Changing the Attitude towards product consumption leads to market creation
- How attitude is formed:



- Why attitude is formed?**
 - Utilitarian Function:** Utilitarian function is related to the basic principles of reward and punishment. We develop some attitudes toward products simply on the basis of whether these products provide pleasure or pain. If a person likes the taste of a cheeseburger, that person will develop a positive attitude toward cheeseburgers. Ads that stress straightforward product benefits (e.g., **you should drink Diet Coke "just for the taste of it"**) appeal to the utilitarian function.
 - Value-Expressive Function:** Value-expressive attitudes reflect a consumer's core values or self-concept, influencing product choices not for their objective benefits but for what they signify about the person (e.g., 'What sort of man reads Playboy?'). These attitudes are crucial in lifestyle analyses, as they help marketers understand how consumers use products to express their identity and values, guiding strategies that align brands with specific consumer lifestyles.
 - Ego-Defensive Function:** Attitudes that are formed to protect the person, either from external threats or internal feelings of insecurity, perform an ego-defensive function. **An early marketing study indicated that housewives in the 1950s resisted the use of instant coffee because it threatened their conception of themselves as capable homemakers. Products that promise to help a man project a "macho" image (e.g., Marlboro cigarettes) may be appealing to his insecurities about his masculinity. Many deodorant campaigns stress the dire, embarrassing consequences of being caught with underarm odor in public.**
- How can you enhance attitude?** Attitude is sum of **beliefs and importance**. One can:
 - Add an attribute
 - Reduce the importance of an attribute
 - Increase the importance of an attribute where brand/co is stronger
 - Change the belief i.e **changing the value proposition of an idea**
 - Eg. A smartphone brand can add an eco-friendly feature to appeal to environmentally conscious consumers, reduce the focus on camera quality if it's not their strength, emphasize their superior battery life as a key selling point, and change the perception of affordability by highlighting long-term savings and flexible payment options**

3. PESTEL Analysis

Context X Feasibility

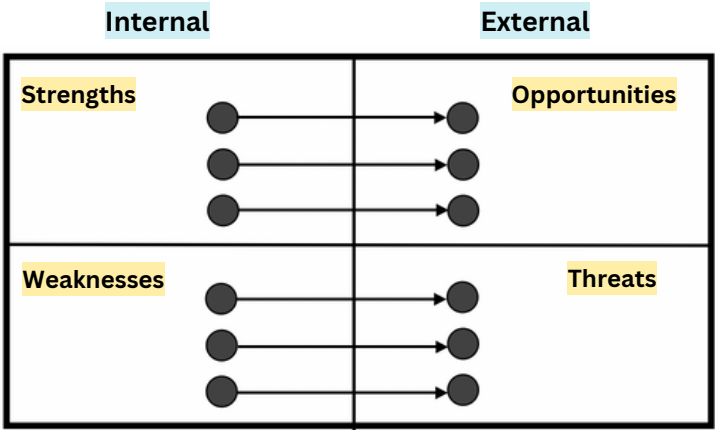


Eg. McDonald's Big Mac. While it's profitable and loved worldwide, it struggles in India due to sociocultural factors—many Indians revere cows, making a beef burger unacceptable despite its global success

4. SWOT Analysis

Company X Capability

Before going into market, the company must know its strengths and the opportunities those strengths will give it, and also the weaknesses and the possible threats those weaknesses can pose to the business.

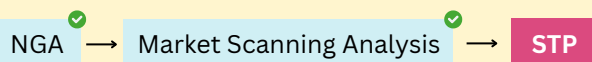


Eg. For Amazon the strengths are its express delivery and quality assured products and that is what it advertises but the Weakness is that its interface is very cluttered and hence people who are looking for one single category - like only apparel find Amazon to be too messy. That is where Myntra advertises and takes advantage of it

End of Market Scanning Analysis

For your Notes:

Next Steps in Building Strategies

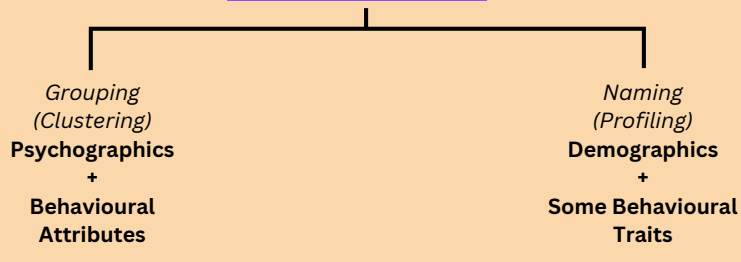


Segmentation, Targeting, Positioning

Segmentation

- Segmentation is the process of dividing customers from heterogenous groups (with different needs) to homogenous groups (similar needs)
- Every customer is unique
- Basis of homogeneity: All should have the same problem

Process of Segmentation



- Profiling:** Describing and naming clustered groups
- Simply using demographics (Age, Geography, Income, Religion etc) is an easier but an inefficient way to segment customers. The accuracy of the formed segments through this process is often low because **people with similar demographics may not have similar needs/problems**
- The better way to segment customers is through behavioural and psychological variables. **People with similar behavioural patterns and interests are more likely to be facing similar problems**
- Psychographics & Behavioural variables are given by the AIO (Activity, Interests & Opinions) Study; AIO facilitates understanding the attitudes, motives, needs and perception regarding a product or a brand based on the customer's activities, interests and opinions

Some examples of variables:

Activities	Interests	Opinions
Work	Family	Themselves
Hobbies	Home	Social Issues
Social Events	Job	Politics
Vacations	Community	Business
Entertainment	Recreation	Economics
Club Membership	Fashion	Education
Community	Food	Products

- Psychographics** include:
 - Personality Types:**
 - Compliant:** Have traits such as-desire to belong, need to follow, need for love & affiliation
 - Aggressive:** Who seek achievement, want to win, need for power, high self-esteem
 - Detached:** Need to break the rules, want to be themselves, need for self-actualization

Eg. The ad strategies of different brands reflect the personality type of their target audiences. **Rolux** ads appeal to those with an aggressive mindset, seeking power & achievement, and desiring to win, making it ideal for individuals with a strong need for esteem. **Patek Philippe**, on the other hand, caters to the compliant consumer, who values following social norms and belonging, fulfilling their need for love and affiliation. **Tag Heuer's** ads resonate with the detached group, those who break the rules and prioritize self-actualization, wanting to be true to themselves. Similarly, in the beverage market, **Coca-Cola's** ads are compliant, focusing on universal themes of happiness and belonging. **Thums Up** takes an aggressive stance, emphasizing boldness and a winning spirit. In contrast, **Sprite** and **7Up** adopt a detached approach, targeting individuals who seek to stand out by being unconventional and authentic.

- VALs (Value & Lifestyle):** Values are formed through upbringing. Values are the beliefs that people have about the world. Types:
 - Miserliness:** A preference for extreme frugality and reluctance to spend, influencing purchasing decisions towards the lowest cost options.
 - Spendthriftiness:** A tendency to spend money freely and extravagantly, often driving impulse buying and luxury purchases.
 - Altruism:** A selfless concern for the well-being of others, leading consumers to support brands that promote social good or charitable causes.
 - Minimalism:** A value emphasizing simplicity and avoiding excess, often resulting in a preference for products that are functional, sustainable, and free of unnecessary features

- Behavioural Attributes** include:

Variables	Degree
Decision Role	Purchaser, Consumer, Gatekeeper
Usage	Heavy, Medium, Light
User Status	Advance, Novice
Occasion	Regular, Festive, Specialty
Willingness to Pay	High, Medium, Low
Attitude	High, Medium, Low
Attitudinal Loyalty	High, Medium, Low
Need/Benefit	N1/B1, N2/B2, N3/B3

(There can be 1000+ such variables)

$$\text{No. of Clusters} = (\text{Levels})^{\text{Variables}} \text{ or } L_1 \times L_2 \times L_3 \times \dots \times L_n$$

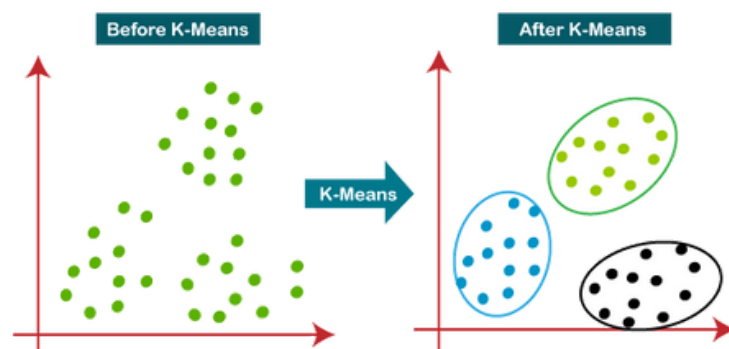
K-means Technique

K-means clustering is a technique used to group customers with similar behaviors and preferences into distinct categories based on their survey responses.

Process:

- Plot Responses:** Imagine each customer's answers as a dot on a graph. For example, if the questionnaire asks about spending habits and brand loyalty, each response is plotted based on these two factors.
- Form Initial Clusters:** The algorithm then groups these dots into clusters. For example, one cluster might include customers who are both high spenders and very loyal to brands.
- Refine Clusters:** The algorithm moves the center of each cluster and reassigns dots to ensure the customers within each cluster are as similar as possible. For instance, after refining, one cluster might represent price-sensitive customers who rarely stick to one brand, while another might represent premium buyers who are brand-loyal.

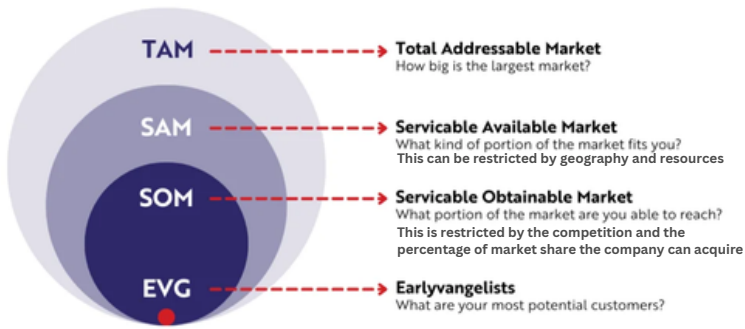
This process helps businesses understand different customer segments and tailor marketing strategies accordingly.



Targeting

- Targeting is the process of selecting the best/most favorable group amongst the formed segments
- Targeting is done on the basis of these three factors:
 - Sales Potential**
 - Profit Potential** (Estimated by analyzing competition & HHI)
 - Unique Needs** (Identified by segmentation)
- We also conduct analyses such as **PESTEL & SWOT** to evaluate our targeting strategy

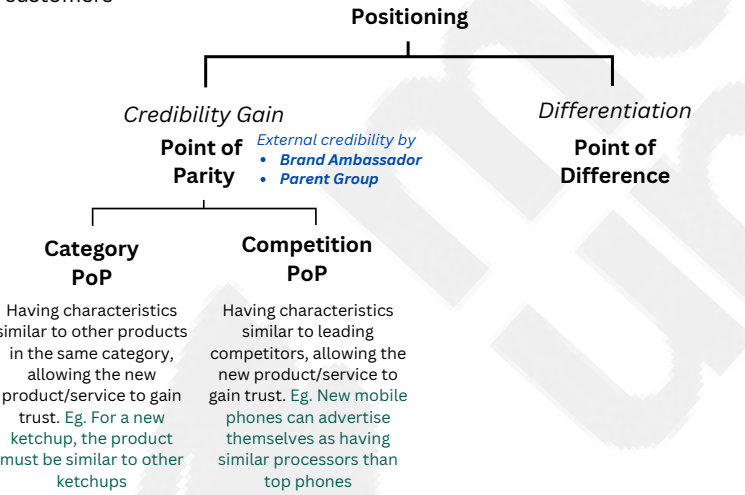
Market Sizing for Sales Potential



- Eg. For **Nike running shoes**:
 - TAM**: All global footwear consumers.
 - SAM**: U.S. adults interested in athletic footwear.
 - SOM**: Active runners in major U.S. cities who prefer premium running shoes.
- The **Market Sizing Estimation** can be performed in two ways:
 - Top-Down Approach**
 - Start with large population population (TAM) and boil down to smaller population (SOM)
 - If there is a **demand constraint** of the product, this approach should be preferred. If company can sell to everyone who ask for the product, then Top-Down Approach should be used
 - Generally approach is used to get monetary estimates
 - Bottom-Up Approach**
 - Start with small-scale dynamics and scale it up to larger population. Example for a retail chain, one can estimate sales in one shop and then scale it up to the entire country. A shopkeeper may start with one week's sales and estimate the sales of the whole year
 - If there is a supply constraint, this approach should be preferred. Examples are expensive products or products limited by resources
 - Generally this approach is used to get units estimates

Positioning

Positioning is the process of occupying the maximum mind-space of customers



Examples

- Coca-Cola (Point of Parity - Category PoP):**
Coca-Cola positions itself in the soft drink category by sharing characteristics with other sodas (sweetness, carbonation) but differentiates through its brand heritage and emotional connection with consumers
- Samsung Smartphones (Point of Parity - Competition PoP):**
Samsung positions its smartphones by ensuring they have similar features to competitors like Apple (e.g., high-quality cameras, powerful processors), but differentiates through additional features like expandable storage or specific price points
- Tesla (Point of Difference):**
Tesla differentiates itself from other car manufacturers by positioning its electric vehicles (EVs) as high-performance, environmentally-friendly, and technologically advanced, standing out from traditional gasoline-powered vehicles

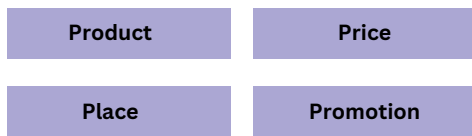
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NGA → Market Scanning Analysis → STP → Marketing Mix

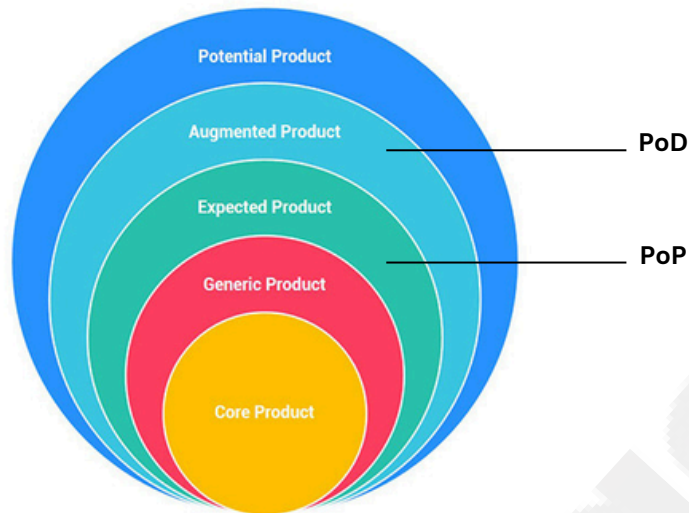
Marketing Mix



Product

Product is a bundle of features that come together to provide a core benefit plus other benefits

Levels of a Product



- **Core Benefit:** Bare minimum features that are required to solve the need
- **Expected Product:** Bare minimum features that consumers seek in order to accept the product as a solution (**PoP**)
- **Augmented Product:** Additional features that separate a product from its competitors (**PoD**)
- **Potential Product:** The unknown features that can be added to the product to improve it in future

Whenever there is augmentation in any market, competition mimics the augmentation and tries to **convert augmented product as the expected product**. When no more augmentation is possible, we say that the market has **matured & the product becomes a commodity**.

(Sir's PoV: There is nothing called as commodity because there is always potential ways to improve and add more attributes. If there are none, the marketer has failed to be creative)

Eg. Levels of Product in the Hotel Industry:

Core Benefit: Imagine you're in a jungle with no place to sleep. The core benefit of a hotel is simply providing shelter—a basic room that protects you from the elements and predators. This is the **fundamental need** the product fulfills.

Expected Product (PoP): When staying in a city, you expect more than just a room. You anticipate essentials like a comfortable bed, clean sheets, and a well-maintained bathroom. These are standard features you expect from any hotel, ensuring the product meets basic **customer expectations**.

Augmented Product (PoD): To stand out, a hotel might offer additional amenities like a television, complimentary breakfast, or a spa. These extra features exceed the standard expectations and differentiate the hotel from competitors. This process of adding unique features to distinguish a product is known as **augmentation**.

💡 **Branding** is one augmentation that competition cannot mimic.

Types of Product/Services/Goods

Search

Experience

Credence

1. Search Goods: Goods that can be evaluated before consumption. Eg. pen, and all the physical products

2. Experience Goods: Goods that can be evaluated after consumption
Eg. Movies, Trips

3. Credence Goods: Goods that cannot be evaluated even after consumption because of lack of either expertise or benchmark.
Eg. Educational Courses, Doctor's Consultation

Product vs. Services

Product

High on

- **Tangibility**

Products are tangible but to stand out, companies add **intangible elements** like **brand equity** and customer experience. For example, **Apple** differentiates through brand loyalty, while **Nike** adds value through its strong **brand identity** and emotional connection with athletes

Service

High on

- **Intangibility**
- **Variability**
- **Simultaneity**
- **Perishability**

1. Intangibility in Services

Services are inherently intangible, meaning they cannot be physically touched or measured directly. **To make their value more tangible and easier for consumers to evaluate, companies use physical evidence.** For instance, educational institutions may highlight placement statistics and alumni success to demonstrate the value of their courses, while hospitals showcase advanced medical equipment and patient testimonials to build trust in their services.

2. Variability in Services

Services are subject to variability because they are provided by people, and the quality can differ depending on who delivers the service and when. **To minimize this variability, companies implement standardized processes.** For example, a lecture might vary depending on whether it's given by Professor A or Professor B, but **standardized curricula help ensure consistency.** Similarly, chain restaurants use specific recipes and training to ensure the same dish tastes consistent regardless of the chef or time of day.

3. Simultaneity in Services

Services are simultaneously produced and consumed, often requiring the provider and the consumer to be present at the same time. **Through proper training, service providers can reduce variability and enhance consistency in service delivery.** For example, in a salon, barbers are trained to cut hair efficiently, ensuring that each customer receives a consistent and high-quality experience. Similarly, in a live concert, performers are trained to engage with the audience while delivering a consistent performance, ensuring that all attendees receive the same level of service simultaneously. Training equips service providers to handle the challenges of simultaneity.

4. Perishability in Services

Services are perishable, meaning they cannot be stored for future use; once the service time passes, it cannot be recovered. **To manage this, companies often use dynamic pricing strategies to maximize utilization.** For example, airline seats are perishable; if they are not filled by the time a flight departs, the opportunity for revenue is lost. Airlines address this by offering lower prices months in advance and adjusting prices closer to departure based on demand. Similarly, hotel rooms are perishable, so hotels adjust prices based on seasonality, offering discounts in low seasons and raising rates during peak times.

The marketing textbooks describe and divide products and services into 10 categories, but we do not really need that kind of theory in an interview. Henceforth we will use the word "offering" to refer to what the company provides – product, service or both. Now let me ask, what do you think a company like Marriott sells? Product? Service? That is just an example of complexity in Marketing. Hotels, Restaurants, Online service providers like Amazon, Flipkart, Lenskart etc sell BOTH product and service. The product being the food or the physical goods you order and the service is the experience that they give you. Hence understanding what the company sells is the FIRST step to Marketing

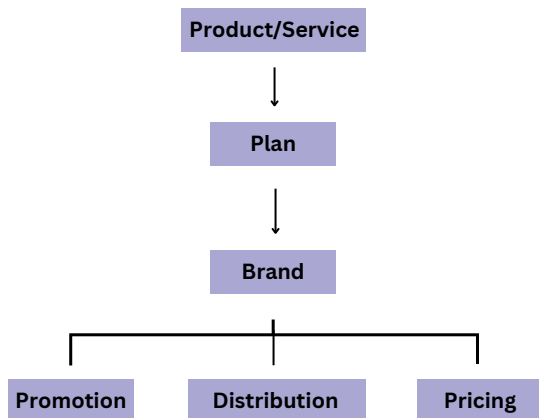


Process	People	Physical Evidence
Standardizes service delivery to minimize Variability and ensures consistent quality	Training people to handle multiple consumers simultaneously, helping to manage Simultaneity effectively	Helps reduce Intangibility by adding tangible elements that make services more concrete and easier to evaluate

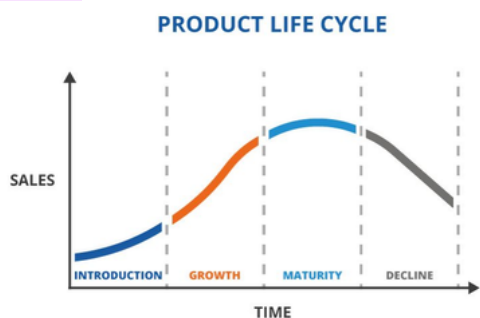
These **3 additional Ps** help in creating a more reliable and consistent service experience.

Product Planning

Ensures sustainability of the organization/company



Product Life Cycle



A product life cycle is the length of time from a product first being introduced to consumers until it is removed from the market.

- Introduction Stage:**
 One marketer introduces the product, and profitability is uncertain. As the product gains traction, competitors notice potential profits.
 Eg. The launch of the first iPhone in 2007, when Apple was the only player in the smartphone market.
- Growth Stage:**
 New entrants join the market, and the product is improved or augmented. Competition increases as the market expands.
 Eg. The rapid increase in smartphone manufacturers (Samsung, HTC, etc.) following the iPhone's success.
- Maturity Stage:**
 The market stabilizes, and companies begin to consolidate. The number of players decreases as weaker competitors are absorbed or exit.
 Eg. The consolidation in the smartphone industry, where brands like Nokia and Blackberry lost market share to dominant players.
- Decline Stage:**
 The market shrinks, leading to further consolidation as only the strongest brands survive.
 Eg. The decline of traditional mobile phone brands as the smartphone market matured, with only a few strong brands remaining.

Product life form can die, but it can be replaced by an improved form/augmented form

Eg. Cathode ray TV > Panel TV > LCD -LED
 Hatchback > Sedan > SUV > MPV

(Sir's PoV: The problem with this model is that it is too generalized and oversimplified. Many products don't live long enough to see the growth stage and you cannot predict the decline of any product as long as it is in the market. Innovations and situations can change destiny of any product)

Brand Life Cycle

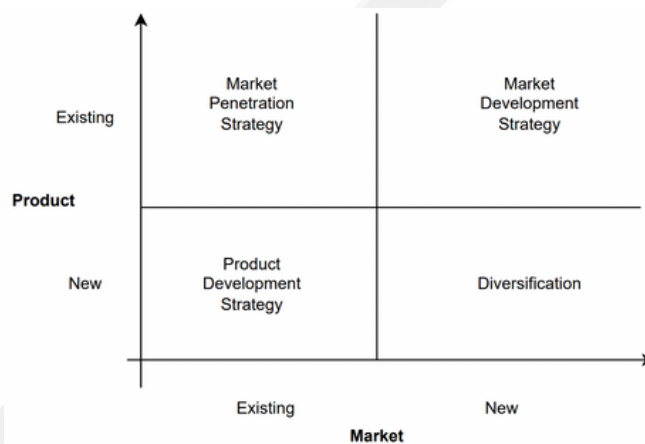
The brand life cycle evaluates the relationship between time and value for the consumer, while the product life cycle evaluates the relationship between sales volumes and time. The brand life is based on the product, customer behavior, and opinions.

Principle Planning

Planning the sustainability of an organisation

- How do you generate more revenue ? **Ansoff Matrix**
- How do you prioritize the revenue ? **BCG Matrix**

Ansoff Matrix



Market Penetration Strategy

Increasing the consumption of existing products to existing consumers. Eg. Colgate increased nozzle size

Market Development Strategy

Taking the existing products to new markets. It can be either to different geography or to different segment (customers with different needs). This is done by fresh STP + 7Ps analysis

Product Development Strategy

Creating new products for existing customers (segments). Eg. Blinkit, Instamart tapped into existing customer base but launched a new product, Apple launched multiple product for the same user base including Mac, iPhone, iPad, AirPods & more

Diversification

Creating new products for new segments. It can be either related (eg. variety in Kingfisher beers) or unrelated (eg. Kingfisher water)

Eg. To **penetrate the market**, Coca-Cola can introduce new packaging, such as PET bottles or limited-edition Christmas specials. For **market development**, it can expand Coca-Cola into new regions like Arab countries. To **create new products**, Coca-Cola could launch variants like Diet Coke. For **diversification**, it can venture into unrelated products like T-shirts or related ones like Vitamin Water.

Extensions

Product planning can be categorized into extensions:

- Variant Extension:** Introducing minor changes to the existing product, like Diet Coke as a low-calorie option.
- Line Extension:** Expanding the product line with major new variants, such as Vitamin Water, which still aligns with the brand's core offerings.
- Brand Extension:** Venturing into entirely new product categories, like Coca-Cola T-Shirts, which are unrelated to beverages but leverage the brand name.

Some line extensions/brand extension could be unfavourable because brand essence could be lost

BCG Matrix

The Boston Consulting Group Matrix (BCG Matrix), also referred to as the **product portfolio matrix**, is a business planning tool used to evaluate the strategic position of a firm's brand portfolio



- **Cash Cows:** Companies should milk these “cash cows” for cash to reinvest. It is advised not to invest more in such businesses, just enough to sustain it and use the profits to fund stars and question marks
- **Stars:** Companies should significantly invest in these “stars” as they have high future potential
- **Question Marks:** Companies should invest in or discard these “question marks,” depending on their chances of becoming stars. If the company has surplus capital, the company may take risk in investing in marketing of such products
- **Dogs:** Companies should liquidate, divest, or reposition these “dogs”

Investors want to know about your question marks and if you have enough cash cows, you can self sustain.

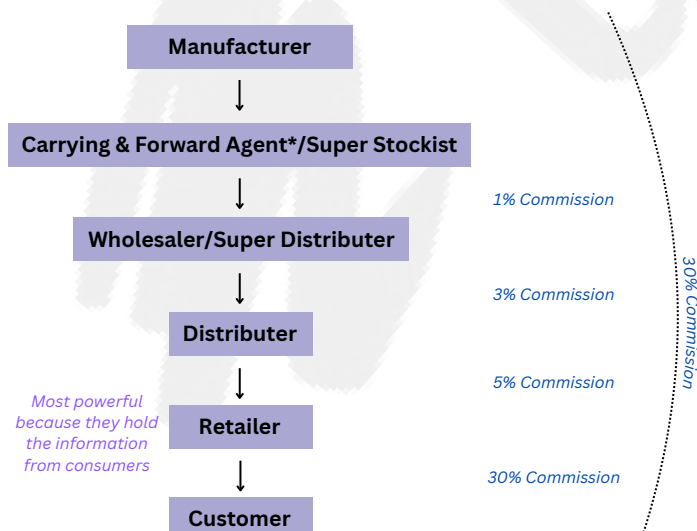
(Sir's PoV: The fundamental assumption that the growth rate of an industry and relative market share of a product can be measured objectively is incorrect)

$$\text{Relative Market Share of Leader} = \frac{\text{Market Share of Leader}}{\text{Market Share of 2nd Position}}$$

$$\text{Relative Market Share of Non-Leader} = \frac{\text{Market Share of Non-Leader}}{\text{Market Share of Leader}}$$

Place/Distribution

Process by which products are transferred from Manufacturer to Consumer, and Feedback and Money are transferred from customer to manufacturer.



*Carrying & Forwarding Agent is a company which is responsible for carrying the product from manufacturer to wholesaler. This is owned by the company but located in different states. This was a technique to reduce tax because VAT was different in different states. After introduction of GST, the CFA is no longer needed.

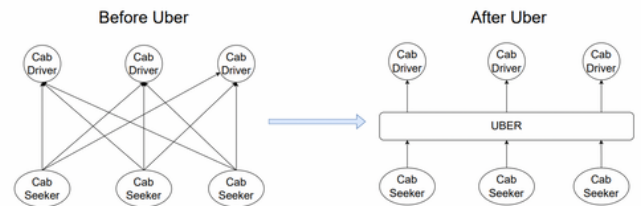
Intermediation: Introducing a new entity in supply chain

Disintermediation: Removing the intermediary entity from supply chain.

Eg. Amazon

Reintermediation: Changing the intermediary entity from supply chain.

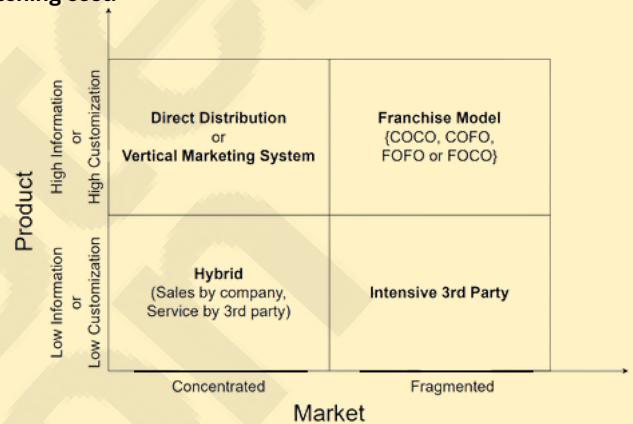
Eg. Blinkit



Direct to Customer (D2C) is a method developed after the popularity of online markets. The manufacturers can now take direct orders from the end customers without a need to have a local retail shop. The distribution happens in almost same way as before. Therefore, **D2C is more of a branding game rather than a distribution game.**

Optimal Distribution Strategy (By Bhupesh Sir)

The channel that allows you to reach the customer **first**, and once they begin to enjoy your product or service, ensures a **high switching cost**.



High Information Product: Products for which extensive information is needed to be provided along with the product. Any new technology or high-spec product/service can be regarded as an High Information Product. **This also depends on how customer perceives the product.**

High Customization Product: Products which are highly customized for individual customer are called high customization products. Eg. Dominos, Starbucks.

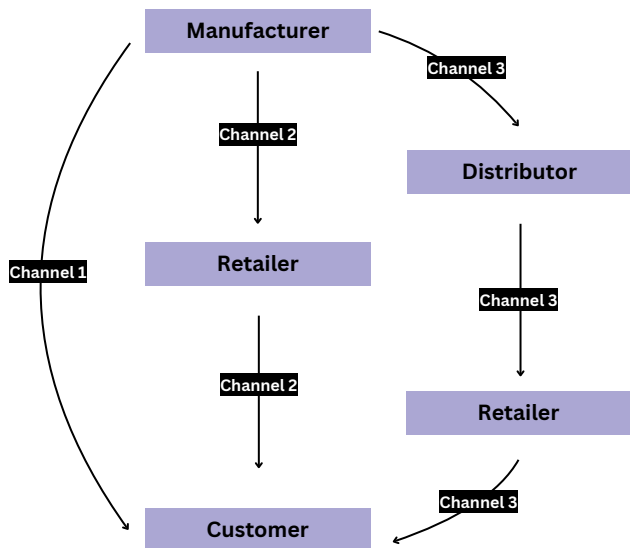
Concentrated & Fragmented market is basis geography & the number of customers in total

- **Direct Distribution / Vertical Marketing:** If the product is highly customized or highly informational, and very few customers are there to deliver to. Eg. [Aircrafts](#)
- **Franchise:** If the product is highly customized or highly informational, but the customers are scattered. Eg. [Keventers](#), [Tata Motors](#).
- **Hybrid Model:** If the product is low in customizations and less information is needed for customer to use it, and customers are located in smaller geography or customers are less in number. 3rd party can fulfil the needs of the customers.
- **Intensive 3rd Party Distribution:** If the product is low on customization and less information is needed, and customers are scattered in the geography. Eg. [Soap](#), [Pen](#) etc.

The distribution systems often change over time. Eg. [MacBooks](#) were earlier sold only via franchise, but now they are available at 3rd party distribution platforms like amazon.

Another example, Tesla uses direct distribution for highly customizable electric vehicles requiring extensive information. It also partners with third-party service centers for maintenance, combining high customization with varied distribution to maximize reach and control.

Intra-Brand Competition



Same product can reach the customer via different channels with a different price for customers. This is called **Intra-Brand Competition** or **Intra-Channel Competition** or **Channel Conflict**. This may lead to reduction in price of the product. Consumers go for best value:

- **Webrooming:** Check product and price online, and buy offline
- **Showrooming:** Check product and price offline, and buy online

How Brands/Companies avoid it:

- **Short-Term Method:** Make certain SKUs exclusive for a certain channel. Eg. Samsung can restrict distribution for a new model to its store and older models can be sold via 3rd party channels
- **Long-Term Method (Omni Channel Experience):** Encourages seamless experience on all the touchpoints i.e customer may be able to check the product out in any channel and buy it in any channel

(**Touchpoint:** Any interaction of customer with the product/brand)

Inter-Brand Competition

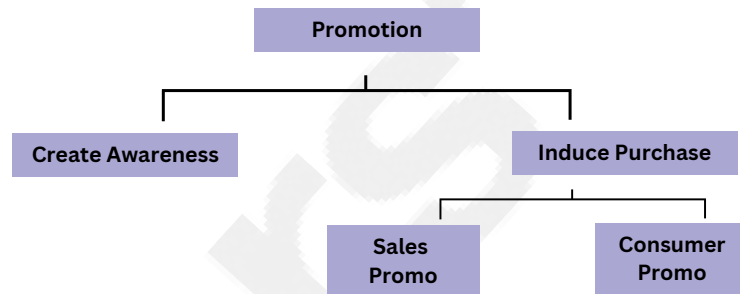
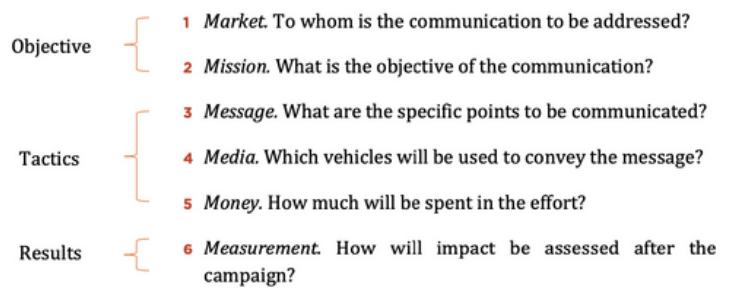
Multiple brands fight with each other to get customer's attention. To address this brands use the following techniques:

- **Every Day Low Price:** Keeping prices very low for all the products, improving customer loyalty & increasing sales i.e if advertised properly
- **Loss Leadership:** Selling a product, in limited quantity, at a loss is to increase footfall. Usually, the loss leader is kept at the end of the store so that customers browse through all the other products
- **Planogramming:** Changing placement of products in stores so that customers explore more products every subsequent time. Eg. Chocolates are kept at kids' eye level
- **Anchor Store:** Having popular stores which attract customers into malls at an easily accessible location
- **Private Labels:** Private labels like Amazon Basics and Solimo position by offering affordable, quality alternatives, using platform control to outcompete branded products.

Promotion

Promotion is the communication component of the marketing mix. Goal is to create awareness about the need/trigger a need, grab customer's attention and provide enough information about the product to build interest and motivate them to purchase.

Because of the variety of steps in the process of creating customers, keeping them, and developing them into brand ambassadors, an integrated communications plan is key to an effective marketing strategy.



Types of Ads for Creating Awareness

1. Guerrilla Advertising: An advertising strategy that uses unconventional tactics to delight and attract customers

- **Examples:**

- **Trumping Donald: A TEAME Teas Intervention.** [Link](#). Hook: 'Drink the Tea, it's never too late'
- **The Kit Kat Benches visit Eastwood!** [Link](#). Hook: Capture attention with a limited budget

2. Social Advertising: Focuses on social cause and the brand/product is becomes the backdrop of the advertisement

- **Example:**

- **Lifebuoy Help A Child Reach 5.** [Link](#). Hook: You buy the brand in guilt

3. Surrogate Advertising: A form of advertising which is used to promote products which are banned or limited from advertising under government regulations, such as cigarettes and alcohol.

- **Example:**

- **Men Will Be Men Imperial Blue Music CDs.** [Link](#). Hook: Makes you want more, hence you remember the brand

4. User Generated Advertising (UGC): It refers to original material used in campaigns, such as images, videos, reviews, and testimonials, created by actual product users instead of marketing teams

- **Example:**

- **Kilig #UBERSTORIES by Uber.** [Link](#). Hook: Uber Share can give you new moments

5. Comparative Advertising: Comparative advertising is a marketing strategy in which a company's product or service is presented as superior when compared to a competitor's.

- **Example:**

- **Apple vs Blackberry Commercial War:** [Link](#). Hook: Simple, Sober, Impactful

6. Ambush Advertising: Ambush marketing is a strategy that involves a brand team trying to associate their products or services with a big event that already has official companies-sponsors

- **Examples:**

- **Pepsi's Nothing Official about it:** [Link](#)

7. Subliminal Advertising: Subliminal advertising is a method used by advertisers that uses hidden sounds and images to influence customers' buying decisions.

- **Example:**

- Baskin-Robbins isn't just famous for its ice cream, it's famous for having 31 flavors. The end of the "B" and the beginning of the "R" in the logo above form the number "31"

8. Covert Advertising: Covert advertising refers to the use of familiar non-advertising formats to deliver advertisements in a way that may not be immediately recognizable as advertising.

- **Example:**
 - **Product placement in TV show Friends.** [Link](#).

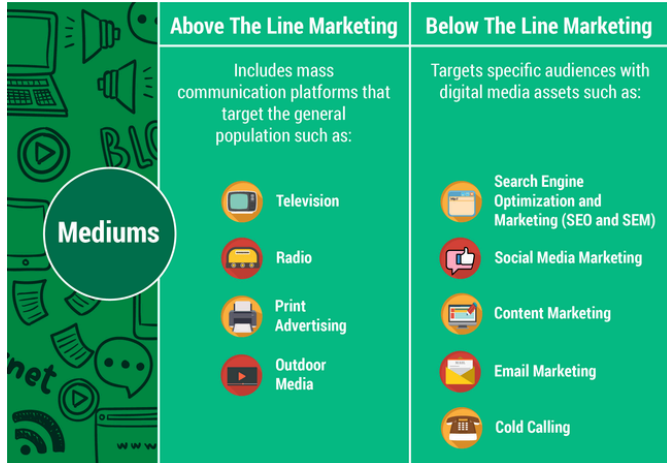
9. Captive Advertising: Users are exposed to advertising content with limited freedom to ignore or modify the content.

- **Example:**
 - **boAt X Netflix | Viral Metro Act.** [Link](#)

10. Fear Based Advertising: Fear appeal in advertising is a strategy used that provides the audience with a persuasive message that emphasizes a serious threat or harm that might come to them if they do not do what is asked of them in the advertisement.

- **Example:**
 - **Smoking Kills campaigns**

Methods



1. Online Media

Any type of internet-based promotional content, including video advertisements on streaming websites or pop-up advertisements on blogs.

- **Earned Media:** This term describes any third-party content or content on channels a business doesn't own, such as a social media platform. It also represents any promotional coverage a company receives when journalists or influencers share its brand content online.
- **Owned Media:** This term describes media channels that a business creates and has complete control over, such as company websites or blogs. Businesses use owned media to generate and display content that educates and engages the target audience about its products or services.
- **Paid Media:** This term refers to all online marketing activities involving paid advertisements, including display ads, sponsored social media posts, paid search results and pop-ups. Businesses often use paid media to generate traffic for a company's website and promote their content to a wider audience.

2. Broadcast Media

Broadcast media involves any publicized visual or auditory marketing content.

- Radio
- Television
- Film

3. Print Media

- Newspapers
- Magazines
- Direct Post/Mail
- Brochures

4. Outdoor Media

- Billboards
- Street furniture
- Transit media

5. Ambient Media

Placement of visual advertising in unconventional places or formats to optimize the ability to impact consumers. Sometimes called alternative media, ambient media can utilize digital, static or other experiential forms, such as golf course holes, building windows, staircases, crosswalks or pizza boxes. Some other examples of ambient media include:

Airplanes writing words in the sky using smoke, Messages on banners trailing from small aircraft, Messages located in bathrooms, Advertisements on the ceiling of a dentist's office
Holographic images in public spaces, Laser projections on buildings

Purchase Inducement

- **Sales Promotion:** One must incentivize the customer, i.e. retailer in this case. This is generally done through increasing margins (external) or giving schemes/tours/offers (internal) to the retailer
- **Consumer Promotion:** This process involves providing incentives to end consumers, such as:
 - **BOGO & Other offers**
 - **Premiums:** Providing something free/extra with the product
 - **Bundling:** Providing different products together as a bundle. Bundling provides convenience and cost-effectiveness to the consumers
 - **Mixed Bundling:** Bundles of things that can be purchased and used separately as well. Eg. Cold drink and Burger
 - **Pure Bundling:** Bundles of things that cannot be used separately. Eg. All-Out and refill
 - **Trials and Sampling:** Providing the product for a limited period of time or some amount for free for consumers to evaluate

Publicity & Public Relations

- **Publicity** is organically generated and can be negative or positive
- **Public Relations** is controlled by the company and involves strategies to improve the brand image. **Seeding strategy** is a popular strategy to do so.

Price

Pricing is the most unique P among all the 7Ps because it is the only P that brings money in the company, all other Ps take money out.

Pricing Strategies for Price Altering

1. Cost Plus Pricing: It is a basic pricing strategy that involves determining the cost of goods or services, and then adding a fixed percentage (the margin) as the markup.

$$\text{Price} = \frac{\text{Fixed Cost}}{N \text{ (Quantity sold in a lifetime)}} + \text{Variable Cost} + \text{Margin}$$

Fixed Cost: Initial setup cost

N: Total number of product sold in lifetime

Variable Cost: Additional cost per unit

Margin: Additional margin the company wants to gain

(Sir's PoV: Easy but ineffective as it based on guess work i.e. we don't know what N will be. If we overestimate the N, co. can take up losses. Also, this method may give very low prices, which may cause **Notional Loss** to occur)

2. Target Costing: A pricing method primarily developed in Japan that integrates market research and customer preferences into the product development process. It involves determining the price that customers are willing to pay for a product by conducting detailed analyses, such as Conjoint Analysis or Part-Worth Analysis, which assess the value that customers place on various product features.

This method calculates an estimated price based on customer input and market demand. The feasibility of the product is then evaluated by comparing the target cost (derived from the target price and desired profit margin) with the estimated production costs using the Cost-Plus Pricing approach.

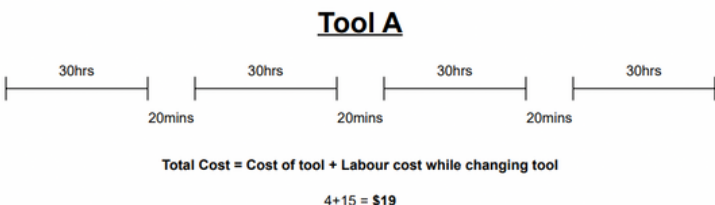
A product is only considered viable if the calculated profit margin is positive, ensuring the business can be sustainable and profitable before launch

3. Perceived Value

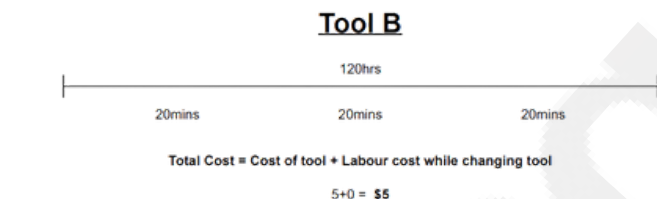
Perceived value focuses on how customers view the value of a product, rather than just its price. The key idea is that the true cost of a product includes not only the purchase price but also other associated costs, like maintenance or replacement.

Example: Imagine two cutting tools:

Tool A costs \$1 and lasts for 30 hours of use. However, every 30 hours, it needs to be replaced, which takes 20 minutes. The average labor cost in the U.S. is \$15 per hour, so the labor cost to replace Tool A every time is \$5 (20 minutes is 1/3rd of an hour, so $\$15/3 = \5). Over 120 hours of work, you would need to replace Tool A four times, resulting in a total cost of \$19 (4 replacements at \$1 each plus 4 labor costs of \$5 each)



Tool B costs \$5 but lasts for 120 hours without needing replacement. The only labor involved is the initial setup, which takes 20 minutes, costing \$5 in labor. The total cost of Tool B for 120 hours of work is therefore \$5 (the cost of the tool plus the labor for setup). Even though Tool A has a lower upfront cost, its total cost over 120 hours of work is much higher than Tool B's. This demonstrates that Tool B provides greater value due to fewer replacements and lower overall costs, even if its initial price is higher.



4. Value Pricing

Value Pricing is a strategy focused on maximizing the value for customers by balancing the benefits offered against the costs. Companies often lower prices to enhance this value, ensuring that customers feel they are getting more for their money. A classic example is the Every Day Low Price (EDLP) model, where consistently low prices are maintained to deliver continuous value

5. Psychological Pricing

It involves small price adjustments that significantly influence customer perception. For example, pricing an item at ₹99 feels much cheaper than ₹100. Brands like Dove use this to create a premium feel by pricing a sachet at ₹7. This technique, known as last digit manipulation, can also be applied with prices like ₹45 or ₹55.

Another tactic, known as the subtraction principle, involves showing a higher original price, then striking it out to highlight a lower selling price. This approach creates the perception of a great deal, making the product seem more affordable.

6. Decoy Pricing

It is a strategy where an intermediate option is introduced to nudge customers toward purchasing a more expensive item.

Example 1: The Economist magazine offered three pricing options: \$59 for digital, \$126 for print, and \$126 for both digital and print. The print-only option served as a decoy, making the combined option appear more valuable.

Example 2: At the movies, popcorn prices might be \$3.5 for small, \$6.5 for medium, and \$7.0 for large. The medium size acts as a decoy, making the large size seem like a better deal, thus encouraging more customers to opt for the larger size.

7. Two Part Pricing

Two-part pricing is a strategy where a product requires both a fixed and a variable component to function. The fixed part is usually priced low to attract customers, while the variable part is more expensive and generates ongoing revenue.

Examples: Razors and blades, printers and toner cartridges. The razor or printer is sold at a lower price, while the blades or toner, which need regular replacement, are priced higher.

Pricing Strategies for New Products

1. Skimming

It is a pricing strategy where a product is launched at a high price to target customers with a high willingness to pay. Over time, the price is gradually reduced to attract more price-sensitive customers. This approach allows the company to maximize revenue from different customer segments as the product moves through its lifecycle.

2. Penetration Pricing

It is a strategy where a new product is introduced at a very low price to quickly gain market share in a price-sensitive market. Once a significant market presence is established, the company may gradually increase prices. This approach is commonly used by companies like Uber to attract a large customer base initially.

3. Going Rate Pricing

Going rate pricing involves setting the price of a new product similar to existing competitors' prices. It's sometimes referred to as "clueless pricing" because it relies on the established market rate rather than a unique pricing strategy. This method is typically used in price-insensitive markets where price competition is less critical.

Price Discrimination

Price discrimination occurs when the same product is sold at different prices to different customers based on specific criteria. There are three types:

- **1st Degree:** Selling a product at the maximum price each customer is willing to pay. Examples include auctions and flight tickets.
- **2nd Degree:** Prices vary based on the quantity purchased, with larger quantities often receiving a discount. This is common in wholesale pricing.
- **3rd Degree:** Prices differ based on customer demographics, such as student discounts, senior citizen benefits, or country-specific pricing.

Bundling

Bundling is a revenue maximization strategy where multiple products or services are sold together at a combined price.

Example: Consider a software company that sells a word processor for ₹3,000 and a spreadsheet program for ₹2,000. Some customers only want the word processor, while others only want the spreadsheet, but many need both.

- If sold separately, the company might sell 100 copies of the word processor and 100 copies of the spreadsheet, earning ₹5,00,000 (₹3,00,000 from the word processor and ₹2,00,000 from the spreadsheet).
- By bundling both software programs together at a package price of ₹4,000, the company can attract 150 customers who would have bought only one of the products. Now, they earn ₹6,00,000 (150 bundles at ₹4,000 each), increasing overall revenue while also providing better value to the customers.

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